ASHIMA GOYAL: First, continuing with the trifecta that has delivered in the last few years: fiscal consolidation, stimulus through better composition of expenditure, tax simplification and process improvements. This year, it has led to the golden rule, where the government borrows only for investment. Second, responding to current requirements such as strengthening resilience against global volatility, supporting labour-intensive services and tech-based skilling. Third, using smart infrastructure and financing, technology and incentives to lay bricks on the path leading to Viksit Bharat.

MADAN SABNAVIS: The three biggest thrust areas are MSME push, capex (including city development, rail corridors and waterways) and new growth industries like data centres and rare earth, which are more futuristic in nature within the contours of maintaining fiscal prudence.



HARDIK CHHABRA

> **"The boost to government credibility and rise in predictability are important to bring down medium- and long-term costs of capital in the economy"**
>
> **— NEELKANTH MISHRA**

ILA PATNAIK: The three biggest thrust areas are:
Manufacturing self-reliance: Seven strategic sectors (semiconductors, biopharma, electronics, rare earths, chemicals, capital goods, textiles) receive targeted interventions with concrete schemes and funding; this is industrial policy with the intent of bringing in investment and growth.
Services-led employment: The High-Powered Education-to-Employment Committee signals a fundamental shift toward fixing the skilling-to-jobs pipeline, recognising that India's demographic dividend requires systematic workforce development beyond manufacturing.
Frontier technology integration: The budget demonstrates genuine fluency with emerging tech—AI missions, cloud service tax holidays through 2047, CCUS (Carbon Capture, Utilisation and Storage) across five sectors and semiconductor ecosystem development. These are pillars of India's post-fossil fuel growth strategy.

Q. Can the budget fast-track India's economic growth in times of global uncertainty and limited fiscal space?

NEELKANTH MISHRA: The Indian economy is nearly 10 per cent behind the pre-pandemic path. Policymakers in India have chosen the monetary route to stimulate economic growth and close this output gap. But despite remarkable fiscal discipline, low inflation and the RBI's rate cuts, bond yields, which reflect the risk-free rate in the economy, have been rising. Better cash management by the government, a better mix of duration in the issuance of bonds and liquidity injections by the RBI should help.

ASHIMA GOYAL: The post-pandemic period shows that appropriate policy can compensate for global shocks. Budget schemes that enhance economic diversity build resilience against shocks. The combination of a higher public investment share and tax cuts to raise private consumption was able to stimulate domestic demand despite limited fiscal space. The tax cuts compensated for the inability to ramp up public investment as much as promised. Moreover, the space is not that limited. Growth adds to revenue buoyancy. The same ratios imply much higher absolute numbers.

MADAN SABNAVIS: Fiscal policy is only one policy instrument that fosters growth. There are others, like trade policy, industry-specific reforms, monetary policy, etc. Within what is possible in fiscal space, the right push has been given by making expenditure (money) work better. There are constraints on the revenue side, which limit aggression when one is bound by fiscal prudence.